

abandon the strategy, probably switching to a strategy that has done well in recent years.

It is very difficult to follow a value approach unless you have sufficient confidence in it. In my books and in my classes, I spend a lot of time trying to get people to understand that in aggregate we are buying above-average companies at below-average prices. If that approach makes sense to you, then you will have the confidence to stick with the strategy over the long term, even when it's not working. You will give it a chance to work. But the only way you will stick with something that is not working is by understanding what you are doing.

When we got our results showing a perfect ordering of the 10 deciles, my partner Rob Goldstein and I looked at each other and said, "This is pretty interesting." We got these stellar results without trying very hard. We thought that by making further refinements, we might want to manage our own money using a systematic value approach. We now have 10 analysts and go through the income statement, balance sheet, and cash flow statement of each of the companies in our universe, and we figure out what real cash flow is and what real assets and liabilities look like based on the way we analyze companies. We have built our own database for over 4,000 U.S. and foreign stocks.

Forward-looking estimates?

No, we are still looking backward.

How much does this more complex analysis add vis-à-vis the Magic Formula you presented in your book?

If you are building a diversified portfolio from the entire universe of stocks we follow, it is quite helpful to be using the right numbers, although a diversified group of at least 20 or 30 stocks following either method does quite well.

As good as the systematic value approach works, it still doesn't reach the level of returns you achieved using a concentrated special situations approach in your original fund and the account that you continued to trade, using the same methodology, after you returned investor money.